expanded the fleet size, he pointed out.

Asked to evaluate Karnataka's welfare guarantees, Dr N.R. Bhanumurthy, vice-chancellor of the Dr B.R. Ambedkar School of Economics (BASE) University in Bengaluru, says it's too early for a verdict but the state's use of technology and databases in public delivery is encouraging. With the advent of DBT, the public delivery mechanism has undergone a vast difference, he says. "We are in a completely different institutional mechanism right now, which is much better than the previous mechanism where there were a lot of issues when schemes were implemented." That said, he points out that actual efficacy needs to be studied while exclusion errors—where schemes are not reaching the intended beneficiaries—will remain a challenge..

THE FUNDS CRUNCH

The other obvious challenge is the resource crunch. Karnataka's own tax revenue between April and September increased by Rs 10,150 crore, a growth of 15 per cent over the same period last year. The state is among the top four in GST collections on an all-India basis. But at the same time, capital expenditure declined by Rs 5,052 crore, or 33 per cent. A senior official reasons that capex normally picks up in the third and fourth quarters when the monsoon is over and as more detailed project reports and tenders are finalised. According to him, committed expenditure hasn't been curtailed, but the standing instructions are to allocate funds for ongoing and new projects in an 80:20 ratio. Naturally, there has been a clamour from local MLAs for funds to take up fresh constituency-level projects. In July and August, the CM had to convene meetings with party MLAs to reassure them that funds for essential development work would be released.

Back in 2002, Karnataka had also been the first state to enact rules for fiscal prudence by introducing the Karnataka Fiscal Responsibility Act (which preceded the Centre's Fiscal Responsibility and Budget Management, or FRBM, Act, 2003). Since then, the state has been careful about meeting the stipulations, registering revenue surpluses in many years and keeping fiscal deficit in check. How it achieved this, explains Jannet Farida Jacob, senior policy analyst with the Delhi-based think-tank Centre for Budget and Governance Accountability (CBGA), is via 'episodic expenditure compression'. Essentially, whenever expenditure on one head increased, the state tended to cut back on another to maintain fiscal prudence. For instance, in 2019, while expenditure on health and education was curtailed, there was an increase in allocations for water and sanitation. Subsequently, that was reversed with an increase in health and education expenditure but a cut in other heads. "They maintained fiscal prudence in this way. So, at the obvious level, they don't look too vulnerable. However, this is a zero-sum game," she points out. She expects similar fiscal management with the guarantees as well. "Given the circumstances, if they wish to make a substantive expenditure allocation for welfare schemes and keep a check on liabilities without resorting to episodic expenditure compression, they will have to devise additional revenue-raising mechanisms," Jacob adds.

Of the five guarantees, Karnataka has so far made good on four while the fifth is in the works. In July, when Siddaramaiah allocated Rs 35,410 crore to the five schemes in his budget, he called it the equivalent of a Universal Basic Income being implemented for the first time in the country with nearly 13 million families receiving Rs 4,000-5,000 a month worth of subsidies. "We are strengthening them [the beneficiaries]," notes energy minister K.J. George, who says the higher spending power will also benefit the economy. As Bhanumurthy of BASE puts it, the schemes are still in their infancy and it may take a while to assess their impact—both on beneficiaries' welfare and effect on the fisc. But that should be no reason to take the eye off the ball. ■

ANNA BHAGYA

Additional 5 kg rice to every ration card member

- **Launched:** July 11
- **Allocation:** ₹10,275 crore
- **Beneficiaries:** 43.7 mn people

The state now gives cash in lieu of it–Rs 170 per person per month. Karnataka has 12.8 million ration cards and between July and October, it covered 11 million families with a total disbursement of Rs 2,444 crore. DBT transfers will continue till rice supplies are tied up

SHAKTI

Free rides on government buses for women

- **Launched:** June 11
- **Allocation:** ₹2,800 crore
- **Beneficiaries:** 6.2 mn female commuters daily

As of Nov. 23, there had been one billion free trips with a ticket value of Rs 2,413 crore. The state is buying 5,675 additional buses

YUVA NIDHI

Dole for unemployed graduates (Rs 3,000 a month) and diploma holders (Rs 1,500). Yet to launch